Jose Alvarado

Contact Information

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Academic Positions

Lecturer (Assistant Professor), School of Economics, University of Queensland 2026–present

Education

Ph.D., Economics, Northwestern University 2025
Advisors: Martin Eichenbaum (Chair), Giorgio Primiceri, Matthew Rognlie
M.A., Economics, Northwestern University 2019
M.A., Economics, Universidad de Chile 2015
B.Sc.Eng., Industrial Engineering, Universidad de Chile 2013

Research Areas

Macroeconomics, Public Finance, Tax Policy, Wealth Inequality

Working Papers

"Tax Avoidance and Wealth Inequality"
Abstract: The hypothesis that wealth inequality is driven by the higher returns earned by the rich—thereby offsetting the progressivity of the tax system—overlooks a key dimension: tax avoidance. This paper shows that tax avoidance not only undermines the progressivity of the tax system but is also one of the reasons why the wealthy earn higher returns. Using micro-data from Chilean tax records, I quantify tax avoidance and find that the top 0.01% of taxpayers reduce their tax payments by 80% through corporate investments. To measure the impact of tax avoidance on wealth inequality, I calibrate a Bewley-Huggett-Aiyagari heterogeneous agent model, incorporating two departures from standard approaches: (i) endogenous portfolio choices between safe and corporate risky assets, and (ii) tax functions that account for tax avoidance. The model successfully replicates the 50% wealth share held by the top 1% in Chile. The main quantitative result is that, without tax avoidance, the top 1% wealth share decreases from 50% to 11%. These findings suggest that tax avoidance is a key driver of wealth inequality.

"The Long Lasting Effects of Warfare on Tax Progressivity: Evidence from World War II" (with Tomas Wilner)
Abstract: This paper studies how World War II reshaped progressive taxation. Treating the war as a natural experiment in a panel of 35 countries from 1929 to 2010, we estimate how much active participation raised a country's top marginal income tax rate relative to what it would have been without the war. Our central finding is that the war raised top rates sharply and durably: five years after entry the top rate is about 38 percentage points higher, and three decades out about 42 points higher; the effect stays large for three decades and remains statistically distinct from zero for about five, before fading as top rates fall across countries after 1980. The estimates are robust to a wide range of inference methods and specifications, and the same design applied to World War I yields a similar but smaller effect. We interpret the persistence as a shift between political-economic equilibria rather than a change in preferences: by compressing the wealth distribution, the war induced a new equilibrium that kept top taxation high.

"Fiscal Redistribution and the Political Influence of Wealth"
Abstract: Countries with similar income inequality before taxes and transfers redistribute very differently. To explain these differences, I develop a heterogeneous-agent general-equilibrium model in which a decisive voter chooses tax progressivity. A parameter, the wealth bias of political influence, sets the voter's position in the wealth distribution. Holding preferences and technology common across countries, I recover each country's wealth bias from how much its taxes and transfers lower the income Gini. Data on the political influence of wealth accounts for 45% of the variance of the recovered bias. Under the average bias of the four largest Nordic countries, Mexico, with its own earnings dispersion and government size, would lower its income Gini by 39% instead of 2%. Restoring one person one vote would raise average welfare in 34 of 37 countries, by up to 3.1% of consumption; in Chile, the poorest fifth of households by wealth would gain 11% and the richest fifth would lose 2%.

"Precautionary Taxation: Capital, not Labor, under Aggregate Risk" (with Alexandre Janiak)

Abstract: Capital taxes differ enormously across countries, and the leading explanations overlook a key dimension: the aggregate risk an economy faces. This paper shows that aggregate risk lowers the capital tax where political frictions sustain one. Using effective tax rates constructed from national accounts for 38 countries, and instrumenting output volatility with the trade-weighted volatility of export partners, we find that volatility one percentage point higher reduces the capital tax by about six percentage points; the effect is stronger in countries with better institutions, and there is no effect on the labor tax. To rationalize these facts, we develop a general equilibrium model in which a self-interested politician sets taxes under aggregate productivity risk, and calibrate it to the United States. The model reproduces the three facts: aggregate risk halves the capital tax relative to its no-risk level, the reduction is larger where institutions are stronger, and the labor tax does not respond. The main intuition is that a lower capital tax increases the marginal benefit of saving and generates a buffer stock of capital, allowing the household and the politician to smooth consumption. These findings suggest that aggregate risk is a first-order determinant of capital taxation, and that it operates through political frictions.

Presentations

Australian Conference of Economists, University of Canberra, Australia 2026
Seminar, Pontificia Universidad Católica de Chile 2026
Seminar, Universidad de Chile (FEN) 2026

Fellowships & Awards

Best third-year Ph.D. student research paper, Susan Schmidt Bies Prize 2021
University Fellowship, Northwestern University 2018–2022
Best Industrial Engineer Graduated Award, Association of Engineers of Chile 2015
National Masters Degree Fellowship, Chilean Ministry of Education 2014–2015

Teaching Experience

Lecturer, University of Queensland 2026
Research Applications in Macroeconomics (Honours), School of Economics
Lecturer, Universidad de Chile 2016–2018, 2023–2024
Economics (undergraduate), Faculty of Physical and Mathematical Sciences
Teaching Assistant, Northwestern University 2019–2022
Business Analytics (graduate), Macroeconomics (undergraduate), Law and Economics (undergraduate)
Teaching Assistant, Universidad de Chile 2013–2016
Macroeconomics (undergraduate and graduate), Microeconomics (undergraduate), Statistics (undergraduate), Finance II (undergraduate)

Research Experience

Research Assistant, Sofía Bauducco, Central Bank of Chile 2015–2018
Research Assistant, Ernesto Pasten, Central Bank of Chile 2015–2018
Research Assistant, Professor Benjamin Villena, Universidad de Chile 2015

Work Experience

Senior Economic Adviser, Ministry of Finance, Chile 2022–2026
Junior Economist, Central Bank of Chile 2015–2018

Programming

Matlab, Python, Stata, R

Languages

English (fluent), Spanish (native)